

Kotebe Metropolitan University
Course Name :Advanced Audit

By : Tekabe S.(Assistant Professor)

- Course Objective :
- At the end of this course the student able to explain :
 - ✓ the concept of audit
 - ✓ The d/t between Accounting and auditing
 - ✓ Professional ethics in auditing
 - ✓ Personal liability
 - ✓ Audit planning
 - ✓ internal control
 - ✓ Types of audit report

chapter content :

Chapter One : an overview of auditing

- Definitions of auditing
- Distinguish b/n auditing and accounting
- Types of audits and auditor
- Types of auditors
- Assurance and non-assurance services
- The economic demand for auditing

Chapter Two: Professional auditing standards

- What is auditing standards
- Generally accepted auditing standards
- Professional qualification requirements
- Professional ethics
- Legal responsibility and liability of auditors

Chapter Three : planning and conducting the audit

- Main reasons for planning
- Planning an audit and designing an audit approach

CHAPTER FOUR: AUDITS OF INTERNAL CONTROL AND CONTROL RISK

- Definition of internal control
- Internal Control Objectives
- Management and Auditor Responsibilities Related to Internal Control
- Five Components of Internal Control
- Process for Understanding Internal Control and Assessing Control Risk

UNIT FIVE : AUDIT REPORT

- Types of audit report
 - unqualified audit report
 - unqualified audit report with modifying words
 - Qualified audit report
 - Adverse
 - Disclaimer

- Reference
- Text Book
- Auditing, an integrated Approach by A. Arence, James K. Loebbecke
- **Evaluation**
- Two individual assignment 30%
- One group Assignment =30%
- Final exam =40%

ADVANCED AUDITING

CHAPTER ONE

AN OVERVIEW OF AUDITING

1.1 INTRODUCTION

- ❑ **Reliable information** is necessary if managers, investors, creditors, and regulatory agencies are to make informed decisions about resource allocation.
- ❑ **Auditing play** an important role in this process by providing **objective** and **independent reports** on the reliability of information.

Cont'd...

- By adding the **audit function** to each situation, the **users** of the financial statements have **reasonable assurance / guarantee** that the financial statements **do not** contain **material misstatements or omissions.**

1.2. NATURE OF AUDITING

1.2.1 Definition of Auditing

□ AAAs Committee on Basic Auditing concepts

developed a definition of auditing as follows:

❑ **Auditing** *is*

- ❑ A systematic process of **objectively / factually obtaining and evaluating evidence** regarding **assertions** about economic actions and events to ascertain the degree of correspondence between those assertions & established criteria and communicating the results to interested users.

❑ Auditing is :

❑ The accumulation and evaluation of evidence about information to determine and report on the degree of correspondence between the information and established criteria.

❑ Auditing should be done by a competent, independent person.

Cont'd...

- ❑ Thus, auditing encompasses both an **investigating process** and **a reporting process**.
- ❑ In the audit of an entity's financial statements –Called **a financial statement audit** :
- ❑ **investigation means** :

Cont'd...

- ❑ **systematic gathering & evaluation of evidence** as a basis for reaching an **opinion** about whether assertions made by management in an entity's financial statements correspond in **all material respects** with generally accepted accounting principles (GAAP) or International financial reporting standard (IFRS).

Cont'd...

□ For example, management asserts all **inventories exist** represent **properties** or **rights of the entity**, reflect all related transactions for the period, are valued at appropriate amounts, and are presented properly in the financial statements.

Cont'd...

- ❑ The **opinion an auditor express** in all audit report **depends on the information content of evidence gathered during the audit** and indicate either **the financial statements are** presented fairly in conformity with **GAAP, IFRS** or **are not presented fairly.**

Cont'd...

□ The International Federation of Accountants (IFAC)

defines an audit as:

- ✓ a work performed by an auditor to enable him/her to express an opinion whether the financial statements are prepared, in all material respects, in accordance with an identified financial reporting framework.

Cont'd...

Therefore, an audit gives a **reasonable assurance** that the financial statements must be **free from material misstatements**.

1.3. Distinguish B/n Auditing and Accounting

❑ **Accounting** is the recording, classifying, and summarizing of economic events for the purpose of providing financial information used in decision making.

❑ **Auditing** is determining whether recorded information properly reflects the economic events that occurred during the accounting period.

❑ Accounting Provide certain **quantitative information** that management and others can use to make decisions.

❑ While Auditing is

❑ **Analytical work** that starts with the **end product of accounting** to lend **credibility** and **fairness** of the measurements.

❑ In auditing, the **recorded information properly** reflects the **economic events** that occurred during the accounting period.

❑ The auditor must also possess **expertise knowledge** in the **accumulation/gathering** and interpretation of audit evidence /facts.

❑ When auditing accounting data, auditors focus on determining whether recorded information properly reflects the economic events that occurred during the accounting period.

□ Because GAAP or international accounting standards provide the criteria for evaluating whether the accounting information is properly recorded, auditors must thoroughly understand those accounting standards.

1.4 TYPES OF AUDITS AND AUDITORS

1.4.1. TYPES OF AUDITS

□ Generally there are three types of audits:

1. Financial statement audit

2. Compliance audits, and

3. Operational audit

1. Financial Statement Audit

- ❑ The audit of financial statements ordinarily covers the **balance sheet** and the related **statements of income, retained earnings, and cash flows**.
- ❑ The goal is to determine whether these statements have been prepared in conformity with specified criteria.

☐ The criteria may be;

☐ International Financial Reporting Standards (IFRS),

☐ Generally accepted accounting principles (GAAP) as in the
USA,

☐ National company laws as in Northern Europe, or

☐ The tax code in South America

❑ Financial statement audits are normally performed by **firms or certified public accountants (CPA)**

❑ Users of auditors' reports include **management, investors, bankers (creditors) and government agencies** and etc

2. Compliance Audits

- ❑ Is a review of an organization's procedures to determine whether the organization is following specific procedures, rules or regulations set out by some higher authority.
- ❑ The purpose of compliance audit is; Dependent upon the **existence of verifiable data** and of **recognized criteria** or **standards**, such as **established law** and **regulations**, and or an **organization's policies** and **procedures**.

❑ Like an **independent financial statement audits**, a compliance audit is designed to determine whether an **entity's financial statements** are presented fairly in accordance with **generally accepted accounting principles or not**.

❑ Compliance audits are conducted by either **independent auditors** or **government auditors**.

3. Operational Audit

□ An operational audit involves a systematic review of an **organization's activities**, or a part of them, in relation to the **efficient** and **effective** use of resources. Sometimes this type of audit is referred to as a **performance audit or management audit**.

❑ **Effectiveness** is a measure whether an organization achieves its goals and objectives.

❑ **Efficiency shows** how well an organization uses its resources to achieve its goals.

1.4.2 TYPES OF AUDITORS

1. Internal Auditors,

2. External Auditors and

3. Government Auditors.

❑ One important requirement of each type of auditor is **independence**, in some manner from the entity being audited.

1. Internal Auditors

- ❑ A principal goal is to **investigate** and **evaluate the effectiveness** with which the various organizational units of the company are carrying out their assigned functions.
- ❑ The institute of Internal Auditors (IIA) has developed a **set of standards** that should be followed by **internal auditors** and has established a certification program.

❑ An individual meeting the **certification requirements set by the IIA**, passing a **uniform written examination**, can become a certified internal auditor (CIA).

❑ Like external auditors, internal auditors must be **objective/** and **independent.**

- ❑ The IAs are employees of the company in which they work, subject to the **employer – employee relationship**.
- ❑ Their primary activities are to conduct **compliance** and **operational audits** within their organization.
- ❑ However, they may also assist the **external auditors** with the **annual financial statement** audit.

2. External Auditors

- ❑ External auditors are often referred to as **independent auditor** or **certified public accountant**.
- ❑ Such auditors are called "**external**" because they are not employed by the organization being audited.
- ❑ An external auditor conducts **financial statement audits**.
- ❑ They may also conduct **compliance** and **operational audits**.
- ❑ An external auditor practice as a **sole proprietor or as a member of a CPA firm**.

❑ Professionals standards require that *external auditors* maintain their **objectivity** and **independence** when providing auditing or other attestation services for clients.

3. Government Auditors

- ❑ The primary responsibility of the government audit staff is to perform the audit function for government.
- ❑ The extent and scope of the audits performed are determined by legislation in the various jurisdictions.

1.5. Assurance and non-assurance services

1.5.1. Assurance services

- ❑ ASs are professional services that improve the quality of information for **decision makers**.
- ❑ Individuals who are responsible for making business decisions seek assurance services to help improve the reliability and relevance of the information.
- ❑ Can be performed by CPAs or by a variety of other professionals.

Attestation Service

- ❑ An **attestation service** is a type of assurance service in which the **CPA** firm issues a report about the **reliability of an assertion/statements that is made by another party.**

4 Categories

- 1. Audit of historical financial statements.***
- 2. Effectiveness of internal control over financial reporting.***
- 3. Attestation services on information technology***
- 4. Other attestation services.***

1. Audit of Historical Financial Statements

 **In this audit,**

 Management asserts that the statements are fairly stated in accordance with applicable GAAP or international accounting standards.

 It is a form of attestation service in which the **auditor issues a written report** expressing an opinion about whether the financial statements are fairly stated in accordance with the applicable accounting standards.

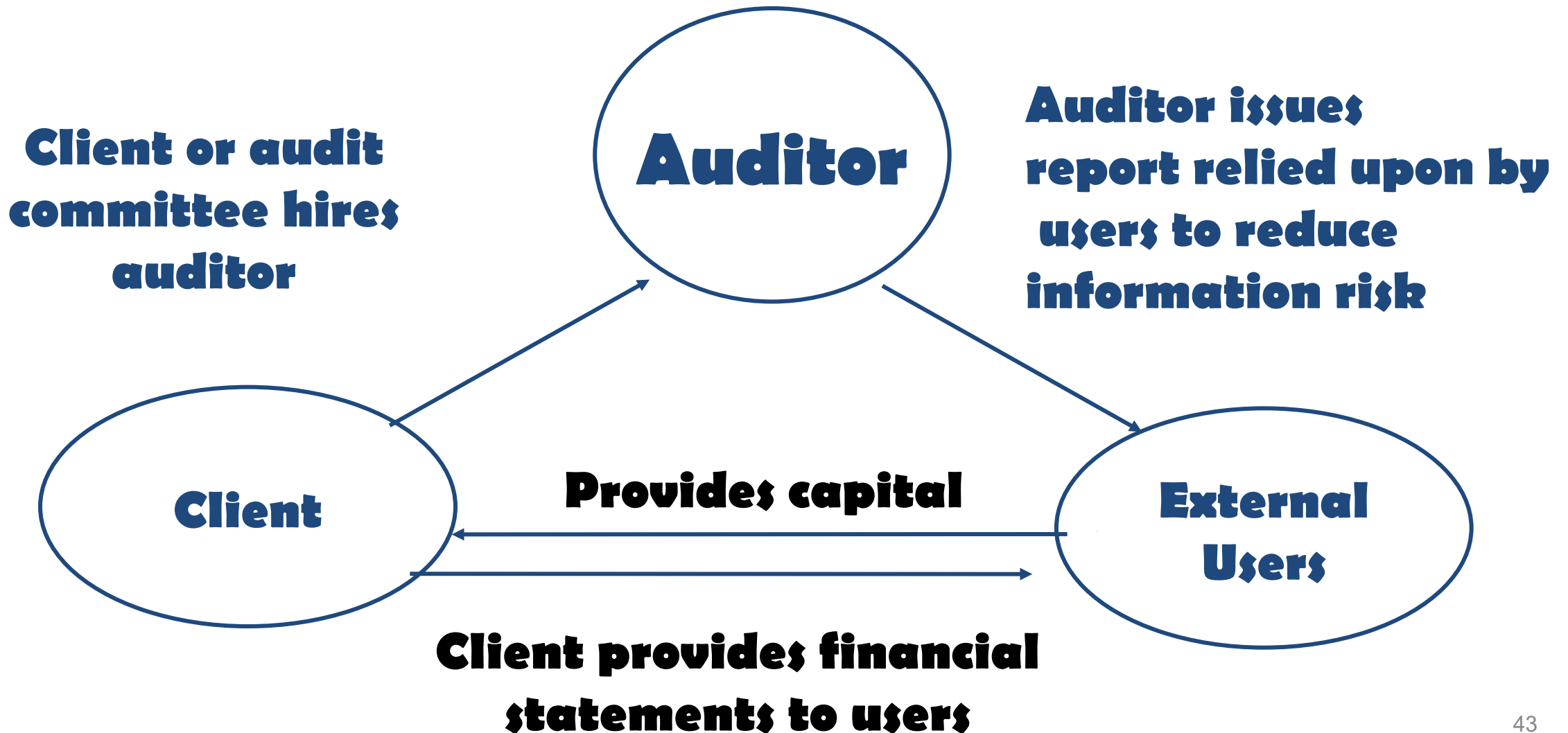
2. Audit of Internal Control over Financial Reporting

- ❑ Internal controls have been developed and implemented following well established criteria**

3. Attestation Services on Information Technology

- ☐ **For attestations on information** technology, management makes various assertions about the reliability and security of electronic information.
- ☐ Many business functions, such as ordering and making payments, are Conducted over the Internet or directly between Computers using electronic data interchange (EDI).

Relationships Among Auditor, Client, and External Users



5. OTHER ASSURANCE SERVICES

- ❑ Most of the other assurance services that CPAs provide ***do not meet the formal definition of attestation services.***
- ❑ The CPA is not required to issue a written report.
- ❑ The assurance does not have to be about the **reliability of another party's assertion** about compliance with specified criteria.

Other assurance services examples

☐ Controls over and risks related to investments, including policies related to derivatives...

Involves

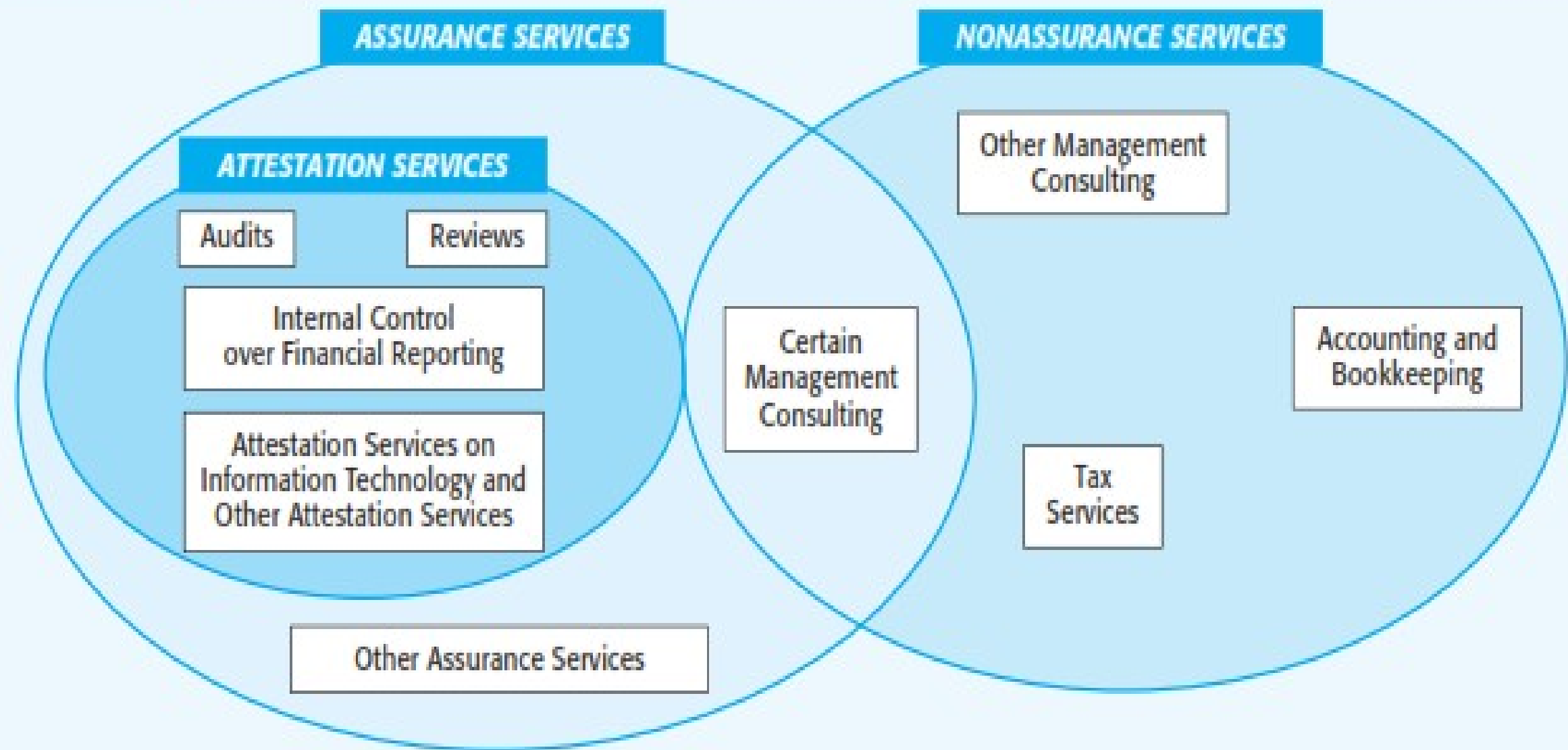
☐ Assessing the processes in a company's investment practices to identify risks and to determine the effectiveness of those processes

☐ Assess risks of accumulation, distribution, and storage of digital information...

INVOLVES

☐ Assessing security risks and related controls over data and other information stored electronically, including the adequacy of backup and off-site storage.

FIGURE 1-3 Relationships Among Assurance Services, Attestation Services, and Nonassurance Services



❑ No assurance Services Provided by CPAs

1. Accounting and bookkeeping services

2. Tax services

3. Management consulting services

❑ Most accounting and bookkeeping services, tax services, and management consulting services fall outside the scope of assurance services, although there is some common area of overlap between consulting and assurance services.

❑ While the **primary purpose of an assurance service is to improve the quality of information,**

❑ The primary purpose of a management consulting engagement is to generate a recommendation to management.

End of Chapter one

1.6. THE ECONOMIC DEMAND FOR AUDITING

If the bank makes the loan, it will charge a rate of interest determined primarily by three factors:

- 1. Risk-free interest rate:*** *Is the rate the bank could earn by investing in treasury notes for the same length of time as the business loan.*
- 2. Business risk for the customer:*** *possibility that the business will not be able to repay its loan because of economic or business conditions,*

3. *Information risk.*

- ☐ ***Information risk reflects the possibility that the *information* upon which the business risk decision was made was inaccurate.***
- ☐ **A likely cause of the information risk is the possibility of inaccurate financial statements.**

- ❑ Auditing has no effect on either the risk-free interest rate or business risk,
- ❑ But it can have a **significant effect** on information risk.
- ❑ If the bank officer is satisfied that there is minimal information risk because a borrower's financial statements are audited, the bank's risk is substantially reduced and the overall interest rate to the borrower can be reduced.
- ❑ The reduction of information risk can have a significant effect on the borrower's ability to **obtain capital at a reasonable cost**.

□ **“Why do organizations request an audit?”**

Among the reasons the majors are the following:

1. Control Mechanism

- Audits whether internally or externally performed are valued as important control mechanisms **for accountability, the overall need for monitoring/supervise activities, for credibility/trustworthiness** for reported and unreported information.

2. Conflict of Interest

- ❑ The agency relationship that exists between an owner and manager produces a natural conflict of interest because of the **information asymmetry** that exists between the manager and the absentee owner.

❑ **Information asymmetry** ----- that the manager generally has more information about the **"true" financial position** and results of operations of the entity than **the absentee owner does**.

3. Consequences

- ❑ Accounting provides information for **economic decision-making**.
- ❑ **This Information** is used for decisions that have serious and substantial economic consequences.
- ❑ Thus, the need for an audit is verifying the **accuracy of information** before they are used in **decisions**.

4. Remoteness of information

- ❑ Because of the separateness of the management from the owners; **information** is prepared in a place **far** from the user.
- ❑ The user is **prevented** from directly assessing the quality of information he/she obtains.
- ❑ Thus, the need for **auditor services is** to assess the information on the **users' behalf**.

5. Regulatory Requirements

- ❑ Many business laws, memorandum of association and regulatory agencies acts make **audits annual requirements** to be complied/act in accordance with for **renewal of license or authorize.**

□ For example the **security exchange commission (SEC) in the US**; the Commercial Code of Ethiopia (1966), and latter the Public Financial Regulation of Procl 163/1999 in Ethiopia make the filing of **audited financial statements annually**.

- As society becomes more complex, decision makers are more likely to receive unreliable information. There are several reasons for this:
- remoteness of information, biases and
- motives of the provider, voluminous data, and the existence of complex exchange transactions.

Biases and Motives of the Provider

- ☐ **If information is provided by someone whose goals are inconsistent with those of the decision maker, the information may be biased in favor of the provider.**
- ☐ **The reason can be honest optimism about future events or an intentional emphasis designed to influence users. In either case, the result is a misstatement of information.**
- ☐ **For example, when a borrower provides financial statements to a lender, there is considerable likelihood that the borrower will bias the statements to increase the chance of obtaining a loan.**
- ☐ **The misstatement could be incorrect birr amounts or inadequate or incomplete Disclosures of information.**

□ Voluminous Data:

- As organizations become larger, so does the volume of their exchange transactions. This increases the likelihood that improperly recorded information is included in the records—perhaps buried in a large amount of other information.**

- Complex Exchange Transactions** In the past few decades, **exchange transactions** between organizations have become increasingly complex and therefore more difficult to record properly.
- After comparing costs and benefits, business managers and financial statement users may conclude that the best way to deal with information risk is simply to have it remain reasonably high.
 - For larger businesses, it is usually practical to incur costs to reduce information risk. **There are three main ways to do so.**

❑ User Verifies Information

❑ The user may go to the business premises to examine records and obtain information about the reliability of the statements. Normally, this is impractical because of cost. In addition, it is economically inefficient for all users to verify the information individually.

❑ User Shares Information Risk with Management There is considerable

- legal precedent indicating that management is responsible for providing reliable information to users. If users rely on inaccurate financial statements and as a result incur a financial loss, they may have a basis for a lawsuit against management

- ❑ **Audited Financial Statements Are Provided The most common way for users to obtain reliable information is to have an independent audit.**

END OF CHAPTER ONE